

9.4 BLACK SCHOLES PRICING MODEL



Explainer Video

The Black Scholes pricing model was developed by two finance researchers, namely Mr. Fischer Black and Mr. Myron Scholes.

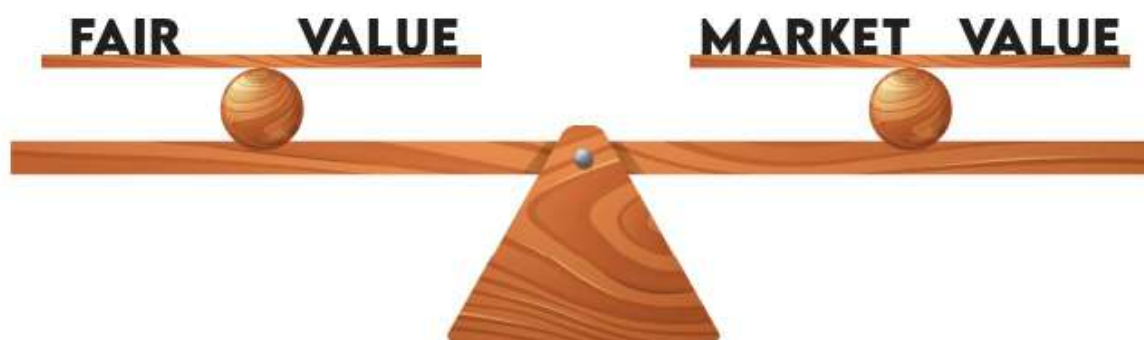


MR. FISCHER BLACK



MR. MYRON SAMUEL SCHOLES

They made this pricing model to determine the fair value or the theoretical value of options. Based on this fair value determined, we can compare it with the market value.



This comparison helps in strategizing our trade or to find trading opportunities.